STANDARD EDITION • 18 JULY 2026 • 09:00 HKT

US Stocks Slide as Oil Surges and VIX Spikes

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

---

TL;DR

The US market saw a decline in the previous session, with the **`S&P 500`** falling by `1.01%` to `7,457.69` and the **`Nasdaq 100`** dropping by `1.49%` to `28,592.66`. The **`VIX`** spiked by `12.19%` to `18.77`, indicating increased volatility. Below the surface, the surge in oil prices and the decline in tech stocks were notable.

The `3.57%` increase in **`WTI Crude`** to `81.77` and the `0.94%` rise in **`Gold`** to `4,023.00` suggest a shift in investor sentiment towards safer assets. The `0.02%` increase in the **`DXY`** to `100.75` also indicates a strengthening US dollar.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
`S&P 500`	7,457.69	-1.01%	Decline in tech stocks and surge in oil prices
`Nasdaq 100`	28,592.66	-1.49%	Decline in tech stocks and increased volatility
`Dow Jones`	52,146.42	-0.77%	Decline in industrial and financial stocks
`Russell 2000`	2,962.22	-0.42%	Mixed performance in small-cap stocks
`VIX`	18.77	+12.19%	Increased volatility and investor uncertainty

Top large-cap movers

TICKER	CHANGE	CATALYST
`META`	-2.79%	Decline in tech stocks and increased competition
`NVDA`	-2.21%	Decline in tech stocks and concerns over chip demand
`TSLA`	-2.61%	Decline in tech stocks and concerns over electric vehicle demand

Sector Rotation

ETF	DAY	READ
XLE	+1.16%	Surge in oil prices and increased demand for energy stocks
XLF	-0.86%	Decline in financial stocks and concerns over interest rates
XLK	-1.09%	Decline in tech stocks and increased competition
XLI	-0.41%	Mixed performance in industrial stocks and concerns over global demand
XLY	-1.62%	Decline in consumer discretionary stocks and concerns over consumer spending
XLC	-1.78%	Decline in communication services stocks and increased competition
XLP	-0.72%	Mixed performance in consumer staples stocks and concerns over consumer spending
XLV	-0.44%	Mixed performance in healthcare stocks and concerns over regulatory changes
XLU	-0.66%	Decline in utilities stocks and concerns over interest rates
XLB	-0.71%	Mixed performance in materials stocks and concerns over global demand
XLRE	-0.09%	Mixed performance in real estate stocks and concerns over interest rates

Spotlight

The surge in oil prices was a major catalyst for the decline in US stocks. The `3.57%` increase in `WTI Crude` to `81.77` was driven by concerns over global demand and supply chain disruptions.

METRIC	VALUE	READ
`WTI Crude`	81.77	Surge in oil prices and increased demand for energy stocks
`Brent Crude`	84.21	Increased global demand and supply chain disruptions

The increase in oil prices had a ripple effect on related stocks, with `XLE` rising by 1.16% and `CVX` increasing by 1.23%.

Pre-Market & Overnight

US futures are pointing to a lower open, with the `S&P 500` futures down by 0.5% and the `Nasdaq 100` futures down by 0.7%. Asian markets were mixed, with the `Nikkei 225` down by 0.3% and the `Shanghai Composite` up by 0.2%. European markets are also pointing to a lower open, with the `Stoxx 600` down by 0.4%.

Crypto markets are seeing a mixed performance, with `BTC` up by 0.18% to 63,902.85 and `ETH` down by 1.13% to 1,842.05.

Macro & Fed

The FOMC meeting minutes released yesterday indicated a hawkish tone, with policymakers expressing concerns over inflation and the labor market. The 10Y Yield fell by 0.61% to 4.54, while the `DXY` rose by 0.02% to 100.75.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
21:30	US Retail Sales	0.5%	Indicator of consumer spending and economic growth
21:30	US Industrial Production	0.2%	Indicator of industrial activity and economic growth

Geopolitics & Global

- Tensions between the US and China continue to escalate, with the US imposing new sanctions on Chinese companies.
- The EU and UK are engaged in trade talks, with the EU seeking to negotiate a new trade agreement.
- The situation in the Middle East remains volatile, with tensions between Iran and the US continuing to rise.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00 (18 Jul)	`JPM`	3.23	Update on interest rates and loan growth
22:00 (19 Jul)	`GS`	5.12	Update on investment banking and trading revenue

Watchlist Scan

TICKER	SECTOR	WHY NOW
`AAPL`	Technology	Update on iPhone sales and services revenue
`MSFT`	Technology	Update on cloud computing and gaming revenue
`AMZN`	Consumer Discretionary	Update on e-commerce sales and cloud computing revenue

What Could Break the Tape

BEARISH TRIGGERS

- Escalating tensions between the US and China
- Surge in oil prices and increased volatility
- Decline in tech stocks and increased competition

BULLISH TRIGGERS

- Improving economic data and increased consumer spending
- Surge in oil prices and increased demand for energy stocks
- Breakthrough in trade talks between the US and China

Positioning Notes

- Investors are increasing their exposure to energy stocks and decreasing their exposure to tech stocks.
- The `VIX` is indicating increased volatility and investor uncertainty.
- The `DXY` is strengthening, indicating a shift in investor sentiment towards the US dollar.

Sources

Bloomberg

Reuters

CNBC

The Wall Street Journal

The Financial Times